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RESOLUTION 2026-30

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF GILROY, SUBMITTING TO THE QUALIFIED VOTERS OF THE CITY OF GILROY, A MEASURE INCREASING THE RATE OF THE CITY'S TRANSIENT OCCUPANCY (HOTEL) TAX FROM 9% TO A NOT TO EXCEED MAXIMUM RATE OF 13% AND REQUESTING THE COUNTY OF SANTA CLARA TO CONSOLIDATE SAID ELECTION WITH THE STATEWIDE GENERAL ELECTION TO BE HELD ON NOVEMBER 3, 2026

WHEREAS, a General Municipal Election on Tuesday, November 3, 2026, has been called for by Resolution No. 2026-29, adopted on Monday, May 4, 2026; and

WHEREAS, the City of Gilroy currently imposes a Transient Occupancy Tax ("TOT") on the privilege of occupying a room or other lodging in a hotel, motel, or short-term rental for 30 days or less; and

WHEREAS, Chapter 25A of the Gilroy City Code establishes the City's TOT paid by hotel, motel, and short-term rental guests staying in Gilroy for thirty days or less; and the current TOT rate is 9%; and

WHEREAS, Revenue and Taxation Code Section 7280 authorizes the City to levy a tax on the privilege of occupying a room or rooms, or other living space, in a hotel, inn, tourist home or house, motel, or other lodging for a period of thirty (30) consecutive calendar days or less; and

WHEREAS, the TOT is a general tax, the proceeds of which shall be deposited into the City's General Fund and may be used for any lawful municipal purpose, including but not limited to public safety, infrastructure maintenance, parks and recreation, community services, and general government operations; and

WHEREAS, Article XIII C, Section 2(b) of the California Constitution, as added by Proposition 218 in 1996, requires that any general tax must be submitted to the electorate and approved by a majority vote of the qualified voters of the city voting in an election on the issue; and

WHEREAS, Article XIII C, Section 2(b) of the California Constitution further requires that an election for the approval of a general tax must be consolidated with a regularly scheduled general election for members of the governing body of the local government; and

WHEREAS, pursuant to California Elections Code Section 9222, the City Council may, without receipt of a petition, submit a proposition to the voters at any established election date; and

WHEREAS, the adoption of this measure is not a "project" subject to the requirements of the California Environmental Quality Act ("CEQA") pursuant to CEQA Guidelines Section 15378(b)(4) because it is the creation of a government funding mechanism that does not involve any commitment to a specific project that may result in a potentially significant physical impact on the environment; and

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WHEREAS, the City Council of Gilroy desires to submit to the voters a proposed increase in the rate of the TOT from nine percent (9%) to a not-to-exceed maximum rate of thirteen percent (13%) and place a measure on the ballot for the next General Municipal Election on November 3, 2026.

WHEREAS, by establishing a maximum rate of thirteen percent (13%), the City Council may, by resolution, set the actual rate at any amount at or below the voter-approved ceiling without requiring further voter approval, thereby providing the City with the flexibility to adjust the rate as fiscal conditions warrant; and

NOW, THEREFORE, BE IT RESOLVED BY THE CITY COUNCIL AS FOLLOWS:

Section 1. A General Municipal Election is hereby called in the City of Gilroy to be held on Tuesday, November 3, 2026, to vote on a ballot measure to increase the rate of the TOT from nine percent (9%) to a not-to-exceed maximum rate of thirteen percent (13%).

Section 2. The ballot measure will be placed on the ballot for Tuesday, November 3, 2026, General Municipal Election, which shall be substantially in the following form:

Transient Occupancy Tax Rate

To maintain critical City services such as street/pothole repair, park and recreation programs, emergency preparedness for storms, flooding and wildfires, and police and fire response shall the City of Gilroy measure raising the Transient Occupancy Tax (hotel tax) rate from 9% to a maximum of 13%, set by Council resolution, providing $700,000 annually paid only by hotel/lodging guests, with annual independent audits, that cannot be taken by Sacramento, until ended by voters, be adopted?	**YES**
	NO

Section 3. The vote requirement for the measure to pass is a majority vote of the qualified voters of the city voting in an election on the issue pursuant to Article XIII C, Section 2(b) of the California Constitution.

Section 4. The City Council hereby requests the Board of Supervisors of the County of Santa Clara, California, to permit the Registrar of Voters of Santa Clara County to render to the City of Gilroy such services as the City Clerk of the City of Gilroy may request relating to the conduct of the above-described General Municipal Election with respect to the following matters:

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Coordination of election precincts, polling places, voting booths, voting systems, and election officers; printing and mailing of voter pamphlets; preparation of the tabulation of the results of votes cast, and all other services necessary to conduct an election.

Section 5. The City Council hereby requests, consents to, and orders that the Registrar of Voters of the County of Santa Clara consolidate the General Municipal Election called and ordered to be held on November 3, 2026, with any other election that may be held on that date.

Section 6. The City Council hereby authorizes the Board of Supervisors of Santa Clara County, California, to canvass the returns of the General Municipal Election.

Section 7. The City Council hereby directs the City Clerk to reimburse the County of Santa Clara in full for any of the above-mentioned services which may be performed by the Registrar of Voters, upon presentation of a bill to the City, with funds already appropriated to the City Clerk for election purposes.

Section 8. The City Council hereby directs the City Clerk to take all actions necessary to facilitate the General Municipal Election in the time frame specified herein and comply with provisions of the Elections Code of the State of California, City Charter, Ordinances, Resolutions, and Policies regarding the conduct of the General Municipal Election.

Section 9. Pursuant to Section 12111 of the California Elections Code, the City Council hereby directs the City Clerk to:

(a) cause a synopsis of the proposed measure to be published at least one time not later than one week before the election in the Gilroy Dispatch, a newspaper of general circulation within the City of Gilroy;

(b) consolidate the Notice of Measure to be Voted with the Notice of Election into a single notice;

(c) cause copies of the full text of the proposed measure set forth in the attached Exhibit A to be printed in the Voter Information Portion of the Sample Ballot;

(d) cause copies of the Sample Ballot to be mailed to each of the qualified electors of the City of Gilroy; and

(e) do all other things required by law to submit the specified measure above to the electors of the City of Gilroy at the General Municipal Election, including causing the full text of the proposed measure to be made available in the Office of the City Clerk at no cost and posted on the City Clerk's website.

Section 10. Pursuant to Sections 9282 and 9285 of the California Elections Code, the City Council hereby approves the submittal of direct arguments for and against the ballot measure, with a maximum of 300 words in length, if any, and authorizes the City Council or any member or members of the Council to author and submit a ballot measure

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argument in favor of the ballot measure, and approves the submittal of rebuttal arguments in response to arguments for and against the ballot measure, with a maximum of 250 words in length, and authorizes the City Council or any member or members of the City

Council to author and submit a rebuttal, if any., to the Santa Clara County Registrar of Voters (ROV) by Tuesday, August 11, 2026.

Section 11. The City Council hereby directs the City Clerk to transmit a copy of the measure qualifying for placement on the ballot with a maximum of 500 words in length to the City Attorney for preparation of an impartial analysis.and transmit to the Santa Clara County Registrar of Voters by Tuesday, August 18, 2026.

Section 12. The City Council hereby acknowledges that the consolidated election will be held and conducted in the manner prescribed in California Elections Code Section 10418.

Section 13. The City Council hereby directs the City Clerk to file certified copies of this resolution with the Board of Supervisors and the Registrar of Voters of the County of Santa Clara not later than eighty-eight (88) days prior to November 3, 2026, as required by California Elections Code Section 10403.

Section 14. The City Council hereby finds and determines that this measure is not a "project" as defined under Section 15378(b)(4) of the California Environmental Quality Act ("CEQA") Guidelines because it is a government funding mechanism or other fiscal activity that does not involve any commitment to any specific project which may result in a potentially significant physical impact on the environment. Therefore, pursuant to Section 15060(c)(3) of the CEQA Guidelines, CEQA does not apply.

Section 15. If any section, subsection, sentence, clause, phrase, or portion of the ordinance submitted to the voters by this resolution is for any reason held to be invalid or unconstitutional by the decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions thereof.

Section 16. If approved by a majority of the voters, the ordinance submitted to the voters by this resolution shall be considered as adopted upon the date that the vote is declared by the City Council and shall go into effect ten (10) days after that date pursuant to Elections Code Section 9217. However, the levying and collection of the transient occupancy tax at the rate established pursuant to this ordinance shall commence effective January 1, 2027, or as soon thereafter as this ordinance shall go into effect.

Section 13. This resolution shall take effect immediately upon adoption.

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PASSED AND ADOPTED by the City Council of the City of Gilroy at a regular meeting duly held on the 4th day of May 2026 by the following roll call vote:

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AYES:	**COUNCIL MEMBERS:**	**CLINE, FUGAZZI, HILTON, MARQUES, RAMIREZ, BOZZO**
NOES:	**COUNCIL MEMBERS:**	**BRACCO**
ABSTAIN:	**COUNCIL MEMBERS:**	**NONE**
ABSENT:	**COUNCIL MEMBERS:**	**NONE**

APPROVED:

Signed by:
Greg Bozzo
8F41AA826AA457...

Greg Bozzo, Mayor

ATTEST:

Signed by:
Kim Mancera
1364D2B0D7E5F48...

Kim Mancera, City Clerk

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CERTIFICATE OF THE CLERK

I, **KIM MANCERA**, City Clerk of the City of Gilroy, do hereby certify that the attached **Resolution No. 2026-30** is an original resolution, or true and correct copy of a City Resolution, duly adopted by the Council of the City of Gilroy at a Regular Meeting of said Council held **Monday, May 4, 2026,** with a quorum present.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed the Official Seal of the City of Gilroy this **Wednesday, May 6, 2026.**

Signed by:
Kim Mancera
9470695D7EC6481...

Kim Mancera
City Clerk of the City of Gilroy

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EXHIBIT A

ORDINANCE NO. 2026-__

AN ORDINANCE OF THE PEOPLE OF THE CITY OF GILROY AMENDING SECTION 25A.2 OF CHAPTER 25A OF THE GILROY CITY CODE (TRANSIENT OCCUPANCY TAX) TO INCREASE THE MAXIMUM TRANSIENT OCCUPANCY TAX RATE FROM NINE PERCENT (9%) TO AN AMOUNT NOT TO EXCEED THIRTEEN PERCENT (13%)

WHEREAS, Chapter 25A of the Gilroy City Code establishes the City's Transient Occupancy Tax ("TOT"), which requires that each "transient" who occupies a "hotel," as those terms are defined in Section 25A.1 of the Gilroy City Code, must pay a TOT at the rate of nine percent (9%) of the rent charged by the operator for the privilege of occupying the hotel; and

WHEREAS, Revenue and Taxation Code Section 7280 authorizes the City to levy a tax on the privilege of occupying a room or rooms, or other living space, in a hotel, inn, tourist home or house, motel, or other lodging for a period of thirty (30) consecutive calendar days or less; and

WHEREAS, the TOT has not been adjusted since 1983, when the rate was set at nine percent (9%) by Ordinance No. 83-14; and

WHEREAS, the proposed TOT increase would apply only to guests who stay in local hotels, motels, and other short-term lodging establishments for a period of thirty (30) consecutive calendar days or less; and

WHEREAS, the TOT is a general tax, the proceeds of which are deposited into the City's General Fund and may be used for any lawful municipal purpose, including but not limited to public safety, infrastructure maintenance, parks and recreation, community services, and general government operations; and

WHEREAS, additional General Fund revenue will help the City of Gilroy maintain and enhance essential city services for the benefit of its residents and visitors; and

WHEREAS, Article XIII C, Section 2(b) of the California Constitution, as added by Proposition 218 in 1996, requires that any general tax must be submitted to the electorate and approved by a majority vote of the qualified voters of the city voting in an election on the issue; and

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WHEREAS, Article XIII C, Section 2(b) of the California Constitution requires that an election for the approval of a general tax must be consolidated with a regularly scheduled general election for members of the governing body of the local government; and

WHEREAS, November 3, 2026 is the date of the next statewide general election at which members of the Gilroy City Council will be elected, and this ordinance is being submitted to the voters at that election; and

WHEREAS, the City Council may, by resolution, set the actual tax rate at any amount at or below the voter-approved ceiling of thirteen percent (13%) without requiring further voter approval, thereby providing the City with the flexibility to adjust the rate as fiscal conditions warrant, provided the rate does not exceed thirteen percent (13%); and

WHEREAS, the adoption of this ordinance is not a "project" subject to the requirements of the California Environmental Quality Act ("CEQA") pursuant to CEQA Guidelines Section 15378(b)(4) because it is the creation of a government funding mechanism that does not involve any commitment to a specific project that may result in a potentially significant physical impact on the environment.

NOW, THEREFORE, THE PEOPLE OF THE CITY OF GILROY DO ORDAIN AS FOLLOWS:

Section 1. Amendment of Section 25A.2.

Section 25A.2 ("Tax imposed") of Chapter 25A ("Transient Occupancy Tax") of the Gilroy City Code is hereby amended to read in its entirety as follows:

"25A.2 Tax imposed.

a) For the privilege of occupancy in any hotel, each transient is subject to and shall pay a tax as imposed from time to time by the City Council. Said tax shall be a percentage of the rent charged by the operator for the occupancy.

b) On and as of January 1, 2027, and continuing thereafter until further change by City Council resolution, the amount of the tax imposed (the tax rate) is eleven percent (11%) of the rent charged by an operator. Any further changes to the tax rate may be made by City Council resolution, provided that the rate shall not exceed thirteen percent (13%). Any such change to the tax rate shall take effect no sooner than sixty (60) days following the adoption of the resolution by the Council. If at any time no Council

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resolution setting a different tax rate is in effect, then the tax rate shall be eleven percent (11%).

c) Said tax constitutes a debt owed by the transient to the city, which is extinguished only by payment to the operator or to the city. The transient shall pay the tax to the hotel operator at the time the rent is paid. If the rent is paid in installments, a proportionate share of the tax shall be paid with each installment. The unpaid tax shall be due upon the transient's ceasing to occupy space in the hotel. If for any reason the tax due is not paid to the operator of the hotel, the director of finance may require such tax to be paid directly to the director of finance."

Section 2. Remaining Provisions Unchanged.

Except as specifically amended by this ordinance, all other provisions of Chapter 25A of the Gilroy City Code shall remain in full force and effect. All references in other provisions of the Gilroy City Code to Chapter 25A or to the transient occupancy tax shall continue to apply to Chapter 25A as amended by this ordinance.

Section 3. Audits and Accountability.

All proceeds resulting from the transient occupancy tax, as amended by this ordinance, shall be deposited into the City's General Fund and shall become subject to the same independent audit requirements as other General Fund revenues. An annual report detailing TOT revenues collected shall be made available for public review.

Section 4. California Environmental Quality Act.

The City Council finds and determines that this ordinance is not a "project" as defined under Section 15378(b)(4) of the California Environmental Quality Act ("CEQA") Guidelines because it is a government funding mechanism or other fiscal activity that does not involve any commitment to any specific project which may result in a potentially significant physical impact on the environment. Therefore, pursuant to Section 15060(c)(3) of the State CEQA Guidelines, the actions proposed herein are not subject to CEQA.

Section 5. Severability.

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If any section, subsection, sentence, clause, phrase, or portion of this ordinance is for any reason held to be invalid or unconstitutional by the decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this ordinance. The People of the City of Gilroy hereby declare that they would have adopted this ordinance and each and every section, subsection, sentence, clause, phrase, or portion thereof, irrespective of the fact that any one or more sections, subsections, sentences, clauses, phrases, or portions thereof be declared invalid or unconstitutional.

Section 6. Effective Date.

This ordinance relates to the levying and collecting of the City's transient occupancy tax. This ordinance shall be adopted if approved by a majority of the voters voting on the measure at the statewide general election to be held on November 3, 2026. If so approved, this ordinance shall be considered as adopted upon the date that the vote is declared by the City Council and shall go into effect ten (10) days after that date pursuant to Elections Code Section 9217. However, the levying and collection of the transient occupancy tax at the rate established pursuant to this ordinance shall commence effective January 1, 2027, or as soon thereafter as this ordinance shall go into effect.

Section 7. Publication.

The City Clerk shall certify to the passage and adoption of this ordinance and shall cause the same, or a summary thereof, to be published and posted in the manner required by law.

* * * * *

PASSED AND ADOPTED by the People of the City of Gilroy at the statewide general election held on November 3, 2026.

ATTEST:

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_____

City Clerk, City of Gilroy

_____

Mayor, City of Gilroy

APPROVED AS TO FORM:

_____

City Attorney, City of Gilroy